

ECONOMY TOPIC 20

FOREIGN TRADE, WTO, FTAs AND PROTECTIONISM

Current-source cutoff: 9 September 2026

01

TRADE LOGIC

- Comparative advantage uses relative opportunity cost.
- Aggregate gains require distribution and adjustment analysis.
- Terms of trade is a price ratio, not the trade balance.

RULE -> TRANSMISSION -> INCIDENCE -> QUALIFICATION

02

BORDER MEASURES

- Tariffs alter landed prices; quotas fix quantity and create rents.
- TRQs combine a quota volume with in-quota and out-of-quota tariffs.
- Subsidies require design, benefit, specificity and effects analysis.

RULE -> TRANSMISSION -> INCIDENCE -> QUALIFICATION

03

STANDARDS

- SPS protects specified human, animal and plant health risks.
- TBT covers other technical rules, standards and conformity assessment.
- Legitimate regulation can still be discriminatory or unnecessarily restrictive.

RULE -> TRANSMISSION -> INCIDENCE -> QUALIFICATION

04

TRADE REMEDIES

- Anti-dumping: dumping plus material injury and causation.
- Countervailing: specific subsidy plus injury and causation.
- Safeguard: import surge plus serious injury; temporary adjustment.

RULE -> TRANSMISSION -> INCIDENCE -> QUALIFICATION

05

PROTECTION

- Nominal protection concerns the output price wedge.
- Effective protection measures domestic value added after input tariffs.
- Escalation can block movement from raw materials to processed exports.

RULE -> TRANSMISSION -> INCIDENCE -> QUALIFICATION

06

WTO SYSTEM

- WTO began 1 January 1995 after Marrakesh 1994.
- Ministerial Conference leads; General Council has DSB and TPRB roles.
- MFN, national treatment, bindings and transparency structure access.

RULE -> TRANSMISSION -> INCIDENCE -> QUALIFICATION

RULE -> TRANSMISSION -> INCIDENCE -> QUALIFICATION

07

WTO AGREEMENTS

- GATT: goods | GATS: services | TRIPS: intellectual property.
- TRIMS: goods-related investment measures.
- AoA: market access, domestic support and export competition.

RULE -> TRANSMISSION -> INCIDENCE -> QUALIFICATION

08

CURRENT WTO

- Fisheries Subsidies Agreement entered into force 15 September 2025.
- Appellate Body remains unable to review appeals.
- WTO-wide e-commerce moratorium lapsed 30 March 2026.

RULE -> TRANSMISSION -> INCIDENCE -> QUALIFICATION

09

REGIONAL INTEGRATION

- FTA keeps separate external tariffs; customs union has a common one.
- Common market adds factor mobility; economic union adds policy coordination.
- Rules of origin connect production history to tariff preference.

RULE -> TRANSMISSION -> INCIDENCE -> QUALIFICATION

RULE -> TRANSMISSION -> INCIDENCE -> QUALIFICATION

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INDIA AGREEMENTS

- UAE and Australia: in force 2022; EFTA: 1 October 2025.
- Oman: 1 June 2026; UK: 15 July 2026.
- EU concluded and New Zealand signed, but no entry date assigned at cutoff.

RULE -> TRANSMISSION -> INCIDENCE -> QUALIFICATION

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INDIA POLICY

- FTP 2023 operates from 1 April 2023 through DGFT instruments.
- DGTR investigates; government notifies; CBIC administers remedies.
- RoDTEP current extension runs through 30 September 2026.

RULE -> TRANSMISSION -> INCIDENCE -> QUALIFICATION

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ANSWER FRAME

- Define rule and authority; date legal status.
- Trace prices, quantities, firms, workers, consumers and retaliation.
- Judge utilisation, value addition, resilience, adjustment and review.

FINAL TEST: OPENNESS + CAPABILITY + RESILIENCE + REVIEW

Topic 19: exchange-rate/BoP | Topic 21: global institutions | Topic 28: farm-subsidy depth